

**BOARD OF THE CBA
MINUTES
(14.11.2017)**

Refinancing Rate of November 14, 2017

**The CBA Board Meeting of November 14, 2017 attended by
Chairman Arthur Javadyan, Deputy Chairmen Nerses Yeritsyan
and Vakhtang Abrahamyan, and Board Members Ashot
Mkrtchyan, Arthur Stepanyan, Armenak Darbinyan,
Oleg Aghasyan and Arkadi Khachatryan.**

The Board meeting opened with presentation of Situation Report as of November 14, 2017. It addressed current developments on inflation, external environment and real, fiscal and monetary sectors of the economy.

Inflation in the third quarter of 2017 was lower than expected, mainly due to lower prices for fruits and vegetables. This effect, the Central Bank estimates, will phase out in the upcoming months, as the volumes of agricultural output are still below the previous year's level. There is expectation that inflation will be within the confidence band by the end of December. In recent months, core inflation has been recovering at a faster pace, incurring the impact of relatively high growth of domestic demand, further fuelled by the expansionary monetary policy implemented by the Central Bank. The high rates with which core inflation recovers points to the grown inflation expectations, with household inflation expectations increasing even faster, which is determined by an increase in prices for some food products in food markets of the world.

The Board addressed the current economic situation, stating that economic activity remained high also in the third quarter of 2017, mainly driven by strong growth registered in the services sector. In view of these developments, the Central Bank again revised the economic growth forecast upside in the Q4, 2017 Monetary Policy Program. High economic activity has been largely attributable to domestic demand that recovered at faster-than-expected rates, which mostly incurred the effect of expansionary monetary policy implementation and of restored growth rates in remittances from abroad. It should be noted that high growth rates in import of goods also persisted in the third quarter, which is another indication of the recovery of domestic demand.

The Board also discussed the external sector developments, which, in line with the scenario, contained trends for improved economic growth, somehow accelerating the external demand growth rates and the rise in prices in the international commodity markets. Following the discussion, the Board concluded that these trends will be maintained in the upcoming months and, consequently, certain inflationary patterns will continue to be observable in the external sector.

The Board looked into the developments in the domestic financial market, admitting that an expansionary monetary policy implemented by the Central Bank has given way for short-term market rates to further decline, fuelled also by a high level of excess liquidity in the banking system. In such a situation, the Central Bank has decided on the right toolkit, in concert with public debt management by the Republic of Armenia Ministry of Finance, in order to absorb the excess liquidity, thus making interest rates to return to the level of the Policy Rate in October-November of 2017.

Following presentation of the Situation Report and the developments in external and domestic macroeconomic environments, the Board began addressing the monetary policy directions and making decision on the interest rate. Two options were on the table – to leave the refinancing rate unchanged and to raise it by 0.25 pp. The Board noted that although inflation expectations and inflation risks came in somewhat intensified, it was still appropriate to keep the policy rate unchanged, leaving it expansive, and to give signal to the financial market about the need for gradual increase in interest rates in the future. As a result, the **12-month inflation rate** will enter the confidence band by the end of the year; it will exceed the 4% target starting from 2018, and only at the end of the forecast horizon will stabilize around the average inflation.

Albeit still low in the short-term, the risks to inflation trend substantially upward in the medium run, and should they materialize, a tougher policy would be required.

The Board approved the decision on interest rates of monetary instruments of the Central Bank and the proposed press release, which are attached hereto.

THE CENTRAL BANK OF THE REPUBLIC OF ARMENIA

BOARD RESOLUTION

**Interest rates of operations by the Central Bank in the
financial market**

By virtue of Article 20 (c) of the Republic of Armenia Law on the Central Bank, the Board of the Central Bank of the Republic of Armenia **enacts:**

1. Leave the refinancing rate of the Central Bank of the Republic of Armenia unchanged, at 6.0%.

2. To the Financial Department of the Central Bank of the Republic of Armenia to carry out operations in the financial market of the Republic of Armenia, using the interest rates, as follows:

2.1. Lombard facility rate offered by the Central Bank to be 7.5%.

2.2. Deposit facility rate offered by the Central Bank to be 4.5%.

3. This resolution shall take force on the day following the adoption thereof.

Arthur Javadyan,
Chairman of the CBA
November 14, 2017

PRESS RELEASE

14.11.2017

At the November 14th of 2017 meeting the Board of the Central Bank of Armenia decided to leave the refinancing rate unchanged, at the 6.0% level.

There was 0.8% inflation in October of 2017 against that of 0.5% registered in the same month of the previous year, and the 12-month inflation rate amounted to 1.2% in the end of the month. Meanwhile, acceleration of the 12-month core inflation, observable in the last months, continues, from 0.7% in July to 2.4% in October. Headline inflation, the CBA Board estimates, remains low owing to slower-than-expected pace in price inflation on fruits and vegetables, the impact of which will, however, phase out in the upcoming months, and the inflation will be within the confidence band.

In the external environment, the global economic growth outlook further followed a positive track while inflationary patterns persisted in world commodity markets. In view of such developments, the CBA Board expects certain inflationary effects from the external sector, as external demand recovers.

The CBA Board notes that based on the results of the first nine months of 2017, compared to the same reference period last year, economic activity remained strong mainly due to high growth in services sector. Domestic demand continues recovering faster than expected, which is attributable to an implemented expansionary monetary policy and somewhat recovered growth in remittances from abroad. Strong growth in imports as well as the way core inflation behaves also points to the recovering domestic demand. In the meantime, inflation expectations of households are growing slightly faster, deriving from the rise in international prices in individual food product markets and supply-driven price increases.

Although certain expanding of the inflation environment and higher inflation expectations are possible, the CBA Board still finds it reasonable to keep monetary conditions expansionary. At the same time, the Board believes that in light of predicted developments **a gradual offsetting of expansionary monetary conditions would be needed** in the near future to fulfil the inflation target in the medium run.

Should there emerge risks to the economic growth outlook and inflation deviating from its recovery path, the Central Bank would react by adjusting its monetary policy directions accordingly, while fulfilling the inflation target in the medium run.

Press Service of the Central Bank of Armenia